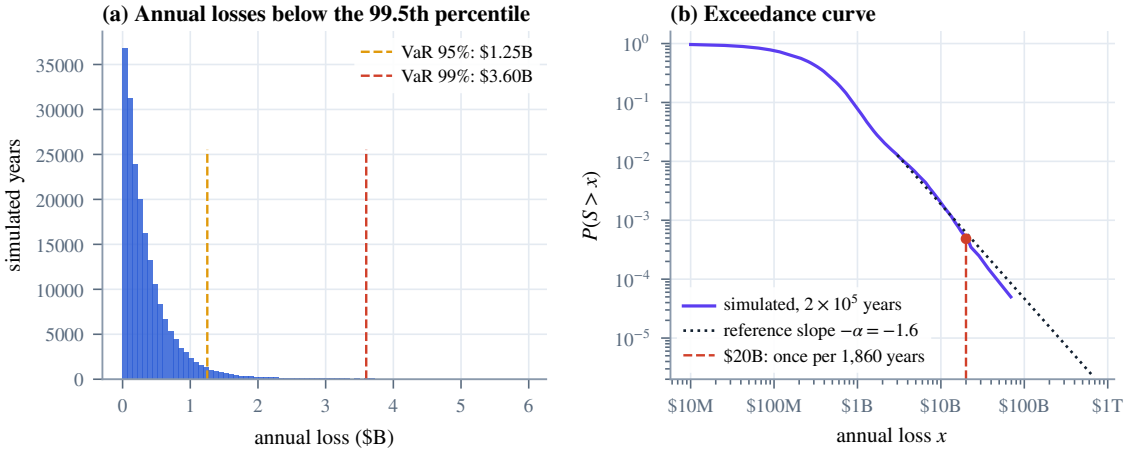
(a) Annual losses below the 99.5th percentile
VaR 95%: $1.25B
VaR 99%: $3.60B
simulated years
35000
30000
25000
20000
15000
10000
5000
0
0
1
2
3
4
5
6
annual loss ($B)
(b) Exceedance curve
$P(S > x)$
10^{0}
10^{-1}
10^{-2}
10^{-3}
10^{-4}
10^{-5}
simulated, 2×10^{5} years
reference slope $-\alpha = -1.6$
$20B: once per 1,860 years
$10M
$100M
$1B
$10B
$100B
$1T
annual loss x